

Enterprise Sales Commission Plan

NovaTech Cloud Solutions • FY2027

FY2027 ENTERPRISE SALES COMMISSION PLAN

Participant Name: Lauren Hastings

Title: Enterprise Account Executive, Western Region

Effective Period: October 1, 2026 - September 30, 2027

Plan Objective:

This plan is designed to incentivize the acquisition of new enterprise logos, the expansion of existing annual recurring revenue (ARR), and the successful promotion of NovaTech's premium cybersecurity add-ons.

Target Compensation:

- Base Salary: \$120,000 annually
- On-Target Commission (OTC): \$120,000 annually
- On-Target Earnings (OTE): \$240,000 annually
- Annual Quota (Net New ARR): \$1,500,000

Commission Rates & Tiers:

Commission is earned as a percentage of the Net New ARR closed by the Participant. The following tier structure applies based on cumulative quota attainment:

- Tier 1 (0% - 49% of Quota): 6.0% of ARR
- Tier 2 (50% - 99% of Quota): 8.0% of ARR
- Tier 3 (100% - 149% of Quota): 12.0% of ARR (Accelerator)
- Tier 4 (150%+ of Quota): 15.0% of ARR (Super Accelerator)

Bonus Multipliers (SPIFFs):

- Multi-Year Contracts: Any contract signed with a guaranteed term of 36 months or longer will receive a 1.25x multiplier on the calculated base commission for that specific deal.
- Cybersecurity Module: Selling the "Zero-Trust Armor" module as part of the initial contract nets an automatic \$2,500 flat bonus per transaction.

Clawback Provision:

If a client terminates their contract or downgrades their service tier within the first six (6) months of the contract effective date, NovaTech Cloud Solutions reserves the right to claw back 100% of the commission paid on that specific deal. The clawback amount will be deducted from the Participant's subsequent monthly commission payout.

Payment Schedule:

Commissions are calculated at the end of each calendar month and paid out on the 15th of the following month, provided the client has remitted their first invoice.